

Section #	Summary of Changes - VMC Correspondent Non-Agency Seller Guide Dated xx/xx/2025
	Chapter 1 - Doing Business with Verus
1.4.12 (new)	Mortgage Fraud: New section that includes Verus Restricted List and Third-Party Exclusionary Lists
1.5.3.2	Locking Loans: Clarified requirements for loan program changes
1.8.1.3.1	Submission of Imaged Package: Appraisal XML data must be delivered with the closed loan package
1.8.2.7	Property Insurance: Added blanket insurance requirements
1.8.2.8	Commercial General Liability Insurance for 2-8 Mixed Use: Added additional requirements
1.8.2.9	Flood Insurance: Added eligibility requirements
1.8.2.10.10 (new)	Title Policy Requirements - Judgments and Liens: All open judgments and all outstanding involuntary liens on title must be paid off prior to or at loan closing
1.8.3.2	Purchase Advice - Interest Credit: Interest to be credited or debited is based upon 30/360 calendar or as required by state law
1.9.1.2	Servicing Transfer Contacts: Removed individual email addresses, see Verus Contact Form for servicing transfer questions
1.9.5 (new)	Escrow Accounts: Added cancellation restrictions of an escrow account after a loan closes.
1.9.13.1	Payoffs Prior to Servicing Transfer: If payoff funds are received before the servicing transfer, contact Verus Servicing Transaction Manager immediately
1.9.13.2	Pending Payoffs: Payoff statement to be provided
1.9.13.3	Early Payoff (EPO) Premium Recapture: Loans that payoff early will be subject to premium recapture
	Chapter 2 - First Lien Eligibility
2.1.2	Interest Only: Added qualification requirements for standard/alt doc and DSCR
2.1.6.2.1 (new)	State Eligibility - TX: Added Texas Senate Bill 17 (SB 17) eligibility restrictions
2.4.1.3	Non-Permanent Resident Alien: Clarified temporary status restrictions per Announcement 2025-18, removed 24 month doc type limitation, gift funds eligible subject to down payment requirements
2.4.2	ITIN: Add matrix reference for eligibility, added borrower eligibility requirements, added restrictions.
2.4.3.1	Foreign National - Residence Requirements: Clarified that borrowers with a primary residence in the U.S. are ineligible.
2.4.3.3	Foreign National - Documentation/Eligibility Requirements: Clarified requirements for DSCR foreign national borrower with an ITIN
2.4.3.5	Foreign National - Housing History and Credit Events: Clarified housing history and credit event parameters specific to foreign national borrowers
2.4.3.7	Foreign National - Assets: Clarified asset requirements, gift funds are allowed after minimum 10% borrower contribution.
2.4.3.8	Foreign National - Restrictions: Added restrictions for occupancy, loan proceeds, interest reserves, ineligible borrowers.
2.4.7.1	Ineligible Vesting: Added life estate
2.4.7.2	Vesting in an Entity: Multi-level structures are allowed with a maximum of two layered entities
2.4.7.2.2	Vesting in an Entity - LLC Documentation Requirements: Entity documents to include the ownership percentage when there is more than one member
2.4.8	Occupancy Types: An investment property is to be held or rented rather than for household or personal use, may not be used as a principal residence or second home.
2.5.1.1.1 (new)	Purchase - Shared Equity: New section for down payment assistance in which a third party contributes funds toward the purchase of the subject property in exchange for a proportional interest in the subject property's future appreciation or depreciation
2.5.1.2	Rate/Term: Added requirements when subject property is refinanced out of cross collateral and into a single asset mortgage
2.5.1.3	Cash-Out: Seasoning requirements updated, 6 months required to use current appraised value, less than 6 months requires lower of purchase price/documented improvements and current appraised value to be used
2.5.1.3	Cash-Out - Builder Refinance: Loans to the developer or affiliates of the developer are ineligible if the builder/developer has built more than 4 independent units within a subdivision, development, or condo project containing the subject
2.5.1.5 (new)	Construct-to-Perm Financing: New section for a two closing transaction.
2.5.3.2	Non-Arm's Length Transaction Restrictions: Ineligible for all DSCR programs, clarified that gift of equity is allowed for primary residence only
2.5.5	Escrows - Impounds: Added link to borrower cancellation (removal) requirements after the loan closes
2.5.6	Secondary Financing: Removed private private party restrictions, added restrictions for secondary financing from any interested parties, added reference to Shared Equity eligibility
2.5.7	Prepayment Penalty: Ohio added to list of ineligible states
2.6.3.1	Fraud Report: Updated transaction participants list
2.6.3.2.2	OFAC - Foreign Countries: Clarified that OFAC "comprehensive" sanctioned countries list is to be screened
2.6.5	Housing History: Housing payments must be paid current as of the month prior to the application date (previously 45 days), housing history/credit events documented outside of the credit report must be reviewed for all REO, updated mortgage and rental verification requirements
2.6.5.3	Departure Residence: Updated requirements when departure residence is converted to a rental
2.6.6.16	Consumer Credit - Judgments and Liens: Updated requirements
2.6.6.17	Income Tax Installment Agreements: Updated per Announcement 2025-14, subordination is not allowed
2.7.2	Asset Documentation: Added down payment assistance and 1031 exchange requirements
2.8.3	Residual Income: Updated requirements
2.8.4.2	Tax Transcripts: Clarified requirements when tax transcripts are obtained
2.8.5.2.2	Standard Doc - Self-Employment: Less than 2 years permitted subject to restrictions, minimum length of self-employment is 1 year.
2.8.5.4.13	Standard Doc - Pension/Retirement/Annuity: Provided direction for government annuity
2.8.6.1.1	Alt Doc Bank Statement: Less than 2 years permitted subject to restrictions, minimum length of self-employment is 1 year.

2.8.6.2	Alt Doc Bank Statement - Calculation: Added requirements for usage of Laminr bSmart bank statement income tool
2.8.6.3	Alt Doc Bank Statement - Analysis: Added ineligible deposits
2.8.6.4	Alt Doc Bank Statement - NSF: Updated non-sufficient funds definition
2.8.8	Alt Doc P&L Statement: Updated eligibility requirements
2.8.8.2	Alt Doc P&L Statement: Ineligible when completed by an employee of the seller or completed by any parties with a vested interest in the subject property or mortgage transaction
2.8.9 (new)	Alt Doc P&L Statement with Two Months Bank Statements: New doc type
2.8.10	Alt Doc 1099: 1009 issued to the borrower's business is allowed subject to restrictions
2.8.12.4	Alt Doc Asset Utilization: Net proceeds from sale of real estate can be used when deposited into bank account
2.9.1.2	DSCR - First Time Investor: Updated property type eligibility per Announcement 2025-15
2.9.2	DSCR - Housing History: Clarified housing history and credit event requirements specific to DSCR, all REO housing history and credit events documented outside of the credit report must be reviewed for program eligibility
2.9.3.1.2	DSCR - Short Term Rental Documentation: Removed occupancy limit of 2 individuals per bedroom
2.9.3.3	DSCR - Restrictions: Added occupancy restrictions, cash-out restrictions, added requirements when refinancing out of cross collateral loan and into single asset mortgage
2.9.5	DSCR Cross Collateral: Updated all sections to align with updated matrix
2.9.6 (new)	DSCR Assignment of Leases and Rents: New section with rider requirements
2.10.1.1	Appraisals: Appraisal XML must be delivered with the closed loan package, added new appraisal report forms
2.10.1.1.2	Appraisal Age: Appraisal Update must be dated within 120 days of Note date
2.10.1.1.4	Appraisal Evaluation: Updated Existing Construction requirements, added new Property Condition section, added new Sales Comparison approach section, added new Rapid Appreciation in Value section
2.10.2.2	Ineligible Properties: Properties with condition rating of C5/C6 or quality rating of Q6 on the appraisal
2.10.6	Condominium Project: Clarified that CPM approval must be from FNMA, cannot be Certified by Lender
2.10.6.2, 2.10.6.3	Condominiums - Established and New Projects: Added "under contract" to align with condo questionnaire
2.10.6.4	Condominium Hotel (Condotel): Updated characteristics of a condotel
	Chapter 3 - Closed End Second
3.1.1	Eligible Products: Added 20 and 30 year interest only, added 30/15 balloon
3.1.2 (new)	Interest Only: New section
3.1.3 (new)	30/15 Balloon Note: New section
3.1.4	Loan Amount: Max increased to \$750K
3.1.7	Qualifying Payment: Updated with requirements only for subject loan.
3.1.8	State Eligibility: Moved NY and TX eligibility to new section
3.2 (new)	First Lien Eligibility: New section consolidates First Lien requirements
3.5.3.1	Ineligible Vesting: Added life estate
3.6.1.2	Stand Alone Cash-Out: Current appraised value may be used for LTV/CLTV
3.6.7 (new)	Prepayment Penalty: New section, added PPP eligibility
3.7.5	Housing History: Housing payments must be paid current as of the month prior to the application date (previously 45 days), housing history/credit events documented outside of the credit report must be reviewed for all REO, updated mortgage and rental verification requirements
3.7.10	Tradelines: Minimum tradeline requirements are waived when the First Lien has an AUS Approve recommendation
3.9.7 (new)	Alt Doc P&L Statement with Two Months Bank Statements: New doc type
3.9.10	Desktop Underwriter and Loan Product Advisor: Findings permitted to be used to meet minimum tradeline requirements
3.10.1.1	Appraisal Requirements: Primary Valuation threshold for a full appraisal increased from \$250K to \$400K
3.10.3	Acreage Limitations: Maximum 10 acres, not meeting the definition of rural
	Chapter 4 - Home Equity Line of Credit (HELOC)
4.2.2	General Requirements: Interest accrual is Actual/365, prepaid interest not permitted, Verus uses the initial advance at time of purchase to determine final settlement price. If the initial advance has been paid down by the borrower prior to purchase by Verus, the final settlement price will be based on the current HELOC balance
4.2.4	Home Equity Combined Loan to Value (HCLTV): Maximum line amount of the HELOC combined with the total outstanding balance of the first lien are used for the HCLTV ratio
4.2.6	Qualifying Payment: Updated with requirements only for subject loan.
4.2.7	State Eligibility: Moved NY and TX eligibility to new section, added TN restrictions
4.3 (new)	First Lien Eligibility: New section consolidates First Lien requirements
4.7.3.1	Ineligible Vesting: Added life estate
4.8.1.1	Stand Alone Cash-Out: Clarified that current appraised value may be used for HCLTV, minimum 12 month seasoning required
4.9.5	Housing History: Housing payments must be paid current as of the month prior to the application date (previously 45 days), housing history/credit events documented outside of the credit report must be reviewed for all REO, updated mortgage and rental verification requirements, added additional requirements to align with other programs
4.12.1	Appraisal Requirements: Primary Valuation threshold for a full appraisal increased from \$250K to \$400K
4.12.2.1	Eligible Properties: Only one ADU is allowed
4.12.2	Ineligible Properties: Properties with condition rating of C5/C6 or quality rating of Q6 on the appraisal, single family detached with 2 or more ADUs
4.12.3	Acreage Limitations: Maximum 10 acres, not meeting the definition of rural
	Chapter 5 - Mortgage Fraud
	New Chapter

	Chapter 6 - Glossary
	Combined Loan-To-Value (CLTV): Added definition
	Home Equity Combined Loan-To-Value (HCLTV): Updated definition
	Chapter 7- Forms
	Closed Loan Delivery Checklist: Updated
	Condo Questionnaire: Updated contodel characteristics
	Pre-Close Submission Checklist: Updated
	Chapter 8 - Matrices
	N/A

Page #	Summary of Changes - VMC Correspondent Non-Agency Loan/LTV Matrix Dated xx/xx/2025
1	Prime Ascent Plus - Standard Doc & Alt Doc
	State Eligibility: Investor occupancy loans in Baltimore City, MD are ineligible per Announcement 2025-21
	Prepayment Penalty: Not allowed in Ohio
2-4	Prime Ascent - Standard Doc & Alt Doc
	State Eligibility: Investor occupancy loans in Baltimore City, MD are ineligible per Announcement 2025-21
	Alt Doc - P&L Statement with Two Months Bank Statements: New doc type
	Gift Funds: Added 100% gift funds requirements to align with the Non-Agency Seller Guide
	Prepayment Penalty: Not allowed in Ohio
5	ITIN - Standard & Alt Doc
	Reserves: Corrected requirements to align with maximum available LTV
6-8	Investor Solutions - DSCR
	State Eligibility: Baltimore City, MD ineligible per Announcement 2025-21
	Loan Purpose: Non-arm's length transactions are ineligible
	Short-Term Rental Income - AirDNA: Removed occupancy limit of 2 individuals per bedroom
	Prepayment Penalty: Not allowed in Ohio
9-10	Investor Solutions - DSCR (5-8 Units or 2-8 Mixed Use)
	Updated Loan/LTV/Credit Score table with requirements for each property type
	5-8 Units: Increased maximum loan amount to \$3.0MM for min credit score of 720
	State Eligibility: Baltimore City, MD ineligible per Announcement 2025-21
	Loan Purpose: Non-arm's length transactions are ineligible
	Appraisal for 2-8 Mixed Use: Added option for narrative report
	Review Product: Clarified that a commercial "sales and income" BPO is required
	Prepayment Penalty: Not allowed in Ohio
11-12	Cross Collateral DSCR
	Increased maximum loan amount and LTV, expanded loan amount tiers
	Added second Loan DSCR matrix for 1.00 - 1.20
	Reduced minimum loan amount to \$200,000, increased maximum loan amount to \$4,000,000
	Reduced minimum property count to 2
	Reduced property level allocated balance
	Added LTV overlays for 2-4 Unit, Condominium, Condotel
	Added rural property eligibility with LTV overlays
	Updated housing history requirements to 1x30x12 and 2x30x24
	State Eligibility: Baltimore City, MD ineligible per Announcement 2025-21
	Added state overlays for CT, FL, IL, NJ, NY and overlays for declining market
	Added Interest Only credit score and LTV overlays
	Loan Purpose: Non-arm's length transactions are ineligible
	Added cash-in-hand maximum limits
	Acreage: Increased maximum to 5 acres
	Appraisal: Added 2nd appraisal required for loans > \$2.0MM
	Value: Added minimum and maximum value requirements
	Vacant Property: 10% LTV reduction to be applied when 25% or more of the properties in the portfolio are vacant
	Minimum Loan DSCR reduced to 1.00
	Minimum Property DSCR reduced to .75, removed interest only caveat
	Prepayment Penalty: Not allowed in Ohio
13-14	Foreign National - Investment
	Added loan amount tiers of \$2.0MM and \$2.5MM, updated LTV parameters
	2-4 Unit, Condominium, Condotel: Increased rate/term LTV overlay to 70%
	Added rural property eligibility with LTV overlays
	Added overlays for long-term rental vacant refinance
	Added state overlays for CT, FL, IL, NJ, NY and overlays for declining market
	State Eligibility: Baltimore City, MD ineligible per Announcement 2025-21
	Loan Purpose: Non-arm's length transactions are ineligible
	Acreage: Increased maximum to 5 acres
	Appraisal: Added 2nd appraisal required for loans > \$2.0MM
	Short-Term Rental Income: Increased LTV overlay to 70% for refinance, removed occupancy limit of 2 individuals per bedroom
	Gitf Funds: Allowed after min 10% borrower contribution
	Prepayment Penalty: Not allowed in Ohio
15-17	Closed End Second - Standard & Alt Doc
	Added \$750K loan amount tier
	Separated Alt Doc matrix into 2 matrices, one matrix for Bank Statement/1099 and other matrix for WVOE/P&L Statement
	State Eligibility: Investor occupancy loans in Baltimore City, MD are ineligible per Announcement 2025-21
	Product and Term: Added 30/15 Balloon option
	Interest Only (new): Added 30 and 27 year term options
	Cash-In-Hand: Max increased to \$750K
	Alt Doc: Added P&L Statement with 2 months bank statements
	Acreage: Added max 10 acres

	Appraisal: Increased threshold to \$400K for full appraisal
	Prepayment Penalty (new): Added PPP options
18-19	Home Equity Line of Credit - Standard & Alt Doc
	State Eligibility: Investor occupancy loans in Baltimore City, MD are ineligible per Announcement 2025-21
	Purchase and Settlement by Verus: Verus uses the initial advance at the time of purchase to determine final settlement price. If the initial advance has been paid down by the borrower prior to purchase by Verus, final settlement price will be based on the current HELOC balance.
	HCLTV and Combined Loan Balance: Clarified the definitions
	Acreage: Added max 10 acres
	Appraisal: Increased threshold to \$400K for full appraisal
	Credit Score: When the loan includes more than one borrower, use the lowest representative score amongst all borrowers